

“WE’LL KEEP A GREEN SHOE OPTION TO GIVE FAIR SHARE TO RETAIL INVESTORS”

DIPAM Secretary Arunish Chawla on strategy, markets, and the road ahead

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IN HIS FIRST interview with Business Today since taking over as Secretary of the Department of Investment and Public Asset Management (DIPAM), Arunish Chawla outlines the government’s evolving strategy for public assets, the rational shift away from fixed disinvestment targets, and the department’s ambitious dividend outlook for FY26. Edited excerpts:

▶▶▶ **Currently market sentiments are volatile given global geopolitical tensions. Does this challenge DIPAM’s current strategy?**

Market participants are very smart—they have already factored in the geopolitical problems. We adopt a composite strategy, supported by in-house research and guided by our DIPAM model. While developments may worry some, we look through them and far ahead.

▶▶▶ **So, are all of DIPAM’s actions aligned with market sentiment?**

Yes, and beyond. It is the prime minister’s and finance minister’s vision to share the value of our public enterprises with common investors—senior citizens, even housewives are becoming investors. Our composite

strategy monitors corporate performance, manages public stocks—which now account for 10–15% of the entire market cap. We want public enterprises to be role models of the stock market.

▶▶▶ **What is the DIPAM model?**

It’s a policy model, not a market model, with four key pillars. It links corporate performance with dividend policy. It connects dividend policy to market prices. It helps us resolve the trade-off between what to sell and what to hold. It aids timing—ensuring we align our decisions with prevailing market conditions.

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Does not having a disinvestment target help you focus more on value creation than revenue generation?

Absolutely. We don’t sell assets in distress. Whenever we disinvest or shut down enterprises, it’s part of a larger economic strategy—to create space for the private sector and enhance performance. It’s all part of a value creation approach.

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Yet, the revenues from disinvestment have been low. Are you relying more on dividends now?

All three elements—disinvestment, asset management, and dividends—are important. We manage various sale mechanisms including OFS, IPOs, minority stake sales, etc. But dividend management is equally critical. We ensure public enterprises pay at least 30% of profits or 4% of net worth. Our research shows that on an average, public enterprises distribute 10% more dividends than Nifty50 companies.

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That makes public sector stocks attractive. Do you see them as a hedge against market shocks?

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